

**IN THE UNITED STATES DISTRICT COURT
FOR THE DISTRICT OF COLORADO
Honorable Marcia S. Krieger**

Civil Action No. 09-cv-00019-MSK-MEH

UNITED STATES OF AMERICA,

Plaintiff,

v.

CEMEX, INC.,

Defendant,

**ANSWER OF DEFENDANT CEMEX, INC. TO PLAINTIFF'S
FIRST AMENDED COMPLAINT**

Defendant CEMEX, Inc. ("CEMEX"), through counsel, files this Answer pursuant to Rule 12 of the Federal Rules of Civil Procedure. Any allegation not specifically admitted below is denied. Answering the numbered paragraphs of the First Amended Complaint, CEMEX admits, denies, and avers as follows:

1. Paragraph 1 states a conclusion of law regarding the Court's jurisdiction, to which no response is required.
2. Paragraph 2 states a conclusion of law regarding venue, to which no response is required; insofar as it is deemed to contain allegations of fact, those allegations are denied.
3. Paragraph 3 contains Plaintiff's characterization of the nature of this lawsuit, to which no response is required; insofar as it is deemed to contain allegations of fact, those allegations are denied.

4. Paragraph 4 states a conclusion of law regarding Plaintiff's authority to bring its claims, to which no response is required.

5. Paragraph 5 states a conclusion of law regarding notice of this action, to which no response is required.

6. CEMEX admits that its headquarters is located at 840 Gessner Road, Suite 1400, Houston, Texas. It further admits that it owns and operates portland cement facilities, including one located at 5134 Ute Highway in Lyons, Colorado (the "Facility").

7. Paragraph 7 states a conclusion of law, to which no response is required.

8. CEMEX admits that the Facility consists of a portland cement manufacturing plant and a quarry. It further admits that the quarry is connected to the plant by a conveyor belt system, approximately two miles long, which transports raw materials to the plant.

9. CEMEX admits that raw materials, including limestone, shales, and sandstone are processed through a primary crusher and transported to the cement manufacturing plant. CEMEX denies that it processes clay in its quarry crusher. Raw materials are also processed through a secondary crusher and placed in a calciner and rotary kiln to form "clinker," which varies in size. Clinker is ground and combined with other materials such as gypsum to produce cement.

10. CEMEX admits that the Facility emits carbon monoxide ("CO"), nitrogen oxides ("NOx"), and particulate matter smaller than 10 microns in size ("PM-10"), but specifically denies that it does so in a manner that is unlawful or in any way supports the claims asserted or relief sought by Plaintiff in this action.

11. Paragraph 11 purports to summarize the purpose of the Clean Air Act (“CAA”). The CAA speaks for itself and is the best evidence of its content. Any allegations to the contrary of that best evidence are denied.

12. Paragraph 12 purports to summarize section 109 of the CAA. The CAA speaks for itself and is the best evidence of its content. Any allegations to the contrary of that best evidence are denied.

13. Paragraph 13 purports to summarize regulations enacted pursuant to the CAA. The regulations speak for themselves and are the best evidence of their content. Any allegations to the contrary of that best evidence are denied.

14. Paragraph 14 purports to summarize section 107 of the CAA. The CAA speaks for itself and is the best evidence of its content. Any allegations to the contrary of that best evidence are denied.

15. CEMEX admits that the Facility is located in Boulder County, Colorado.

16. Paragraph 16 states conclusions of law, to which no response is required.

17. Paragraph 17 purports to summarize section 110 of the CAA. The CAA speaks for itself and is the best evidence of its content. Any allegations to the contrary of that best evidence are denied.

18. Paragraph 18 purports to summarize provisions of the CAA and federal regulations. The CAA and federal regulations speak for themselves and are the best evidence of their content. Any allegations to the contrary of that best evidence are denied.

19-22. Paragraphs 19 through 22, inclusive, purport to summarize provisions of the CAA relating to the Prevention of Significant Deterioration (“PSD”) program and state

implementation plans. The CAA speaks for itself and is the best evidence of its content. Any allegations to the contrary of that best evidence are denied.

23. Paragraph 23 states a conclusion of law, to which no response is required.

24. Paragraph 24 states conclusions of law, to which no response is required.

25. Paragraph 25 states a conclusion of law, to which no response is required.

26-36. Paragraphs 26 through 36, inclusive, purport to summarize the CAA's PSD and Title V programs, federal regulations and provisions of the Colorado State Implementation Plan ("SIP"). The Clean Air Act, federal regulations, and Colorado SIP speak for themselves and are the best evidence of their content. Any allegations to the contrary of that best evidence are denied.

37-39. Paragraphs 37 through 39, inclusive, purport to summarize provisions of the CAA regarding the Nonattainment New Source Review ("NNSR") program and state implementation plans, as well as provisions of the Colorado SIP. The CAA and Colorado SIP speak for themselves and are the best evidence of their content. Any allegations to the contrary of that best evidence are denied.

40. Paragraph 40 states a conclusion of law, to which no response is required.

41. Paragraph 41 purports to summarize the Colorado SIP. The Colorado SIP speaks for itself and is the best evidence of its content. Any allegations to the contrary of that best evidence are denied.

42. Paragraph 42 purports to summarize the CAA, federal regulations, and Colorado SIP. The CAA, federal regulations, and Colorado SIP speak for themselves and are the best evidence of their content. Any allegations to the contrary of that best evidence are denied.

43. Paragraph 43 purports to summarize the CAA, federal regulations, and Colorado regulations relating to Title V permitting. The CAA and federal and Colorado regulations speak for themselves and are the best evidence of their content. Any allegations to the contrary of that best evidence are denied.

44. Paragraph 44 purports to summarize the federal and Colorado regulations. The federal and Colorado regulations speak for themselves and are the best evidence of their content. Any allegations to the contrary of that best evidence are denied.

45. Paragraph 45 states conclusions of law, to which no response is required.

46. Paragraph 46 purports to summarize the CAA and the federal and Colorado regulations. The CAA and federal and Colorado regulations speak for themselves and are the best evidence of their content. Any allegations to the contrary of that best evidence are denied.

47. Paragraph 47 purports to summarize section 112 of the CAA and federal regulations. The CAA and federal regulations speak for themselves and are the best evidence of their content. Any allegations to the contrary of that best evidence are denied.

48. Paragraph 48 purports to summarize section 113 of the CAA and federal regulations. The CAA and federal regulations speak for themselves and are the best evidence of their content. Any allegations to the contrary of that best evidence are denied.

49. Paragraph 49 purports to summarize provisions of the CAA, Federal Civil Penalties Inflation Adjustment Act of 1990, and federal regulations. The CAA, Federal Civil Penalties Inflation Adjustment Act of 1990, and federal regulations speak for themselves and are the best evidence of their content. Any allegations to the contrary of that best evidence are denied.

50. Paragraph 50 purports to summarize the CAA. The CAA speaks for itself and is the best evidence of its content. Any allegations to the contrary of that best evidence are denied.

51. CEMEX admits that the Environmental Protection Agency (“EPA”) issued a Notice of Violation on March 28, 2007, but specifically denies that CEMEX has committed any violations of law or that the Notice of Violation is sufficient to state or support any claims against CEMEX.

52. CEMEX admits that it owns and operates a portland cement manufacturing plant in Lyons, Colorado and that cement is a component of concrete.

53. CEMEX admits that the Facility had undergone changes over the course of its history, but specifically denies that any such changes were done in an unlawful manner or in any way support the claims asserted or relief sought by Plaintiff in this action.

54. CEMEX admits, upon information and belief, that the Facility was constructed in 1969 by Martin Marietta, Inc., and the Facility was acquired in 1984 by Southdown, Inc. CEMEX acquired the Facility from Southdown, Inc. in November 2000. CEMEX further admits that Southdown, Inc. became a wholly owned subsidiary of CEMEX.

55. Paragraph 55 states conclusions of law, to which no response is required.

56-62. CEMEX has moved to dismiss Plaintiffs’ First Claim for Relief pursuant to Fed. R. Civ. P. 12(b)(6) and thus no answer to this Claim, as set forth in Paragraphs 56 through 62, inclusive, is required.

63-68. CEMEX has moved to dismiss Plaintiffs’ Second Claim for Relief pursuant to Fed. R. Civ. P. 12(b)(6) and thus no answer to this Claim, as set forth in Paragraphs 63 through 68, inclusive, is required.

69. CEMEX incorporates its responses to Paragraphs 1 through 68, inclusive, as though fully set forth herein.

70. CEMEX admits that the Facility has been operating pursuant to a Title V Operating Permit, issued by the state of Colorado, since February 1, 2000, and its Title V Permit was revised in 2002 and reissued on March 1, 2008.

71. Paragraph 71 purports to summarize the Title V Permit issued to CEMEX. The Title V Permit speaks for itself and is the best evidence of its content. Any allegations to the contrary of that best evidence are denied.

72. CEMEX denies the allegations in Paragraph 72.

73. Paragraph 73 purports to summarize the Title V Permit issued to CEMEX. The Title V Permit speaks for itself and is the best evidence of its content. Any allegations to the contrary of that best evidence are denied.

74. CEMEX denies the allegations in Paragraph 74.

75. Paragraph 75 purports to summarize the Title V Permit issued to CEMEX. The Title V Permit speaks for itself and is the best evidence of its content. Any allegations to the contrary of that best evidence are denied.

76. CEMEX denies the allegations in Paragraph 76.

77. Paragraph 77 purports to summarize the Title V Permit issued to CEMEX. The Title V Permit speaks for itself and is the best evidence of its content. Any allegations to the contrary of that best evidence are denied.

78. CEMEX denies the allegations in Paragraph 78.

79. CEMEX denies the allegations in Paragraph 79.

80. CEMEX denies the allegations in Paragraph 80.

81. CEMEX incorporates its responses to Paragraphs 1 through 80, inclusive, as though fully set forth herein.

82. Paragraph 82 purports to summarize the federal regulations. The federal regulations speak for themselves and are the best evidence of their content. Any allegations to the contrary of that best evidence are denied.

83. CEMEX denies the allegations in Paragraph 83.

84. Paragraph 84 purports to summarize the federal regulations. The federal regulations speak for themselves and are the best evidence of their content. Any allegations to the contrary of that best evidence are denied.

85. CEMEX denies the allegations in Paragraph 85.

86. Paragraph 86 purports to summarize the federal regulations. The federal regulations speak for themselves and are the best evidence of their content. Any allegations to the contrary of that best evidence are denied.

87. CEMEX denies the allegations in Paragraph 87.

88. Paragraph 88 purports to summarize the federal regulations. The federal regulations speak for themselves and are the best evidence of their content. Any allegations to the contrary of that best evidence are denied.

89. CEMEX denies the allegations in Paragraph 89.

90. CEMEX denies the allegations in Paragraph 90.

91. CEMEX denies the allegations in Paragraph 91.

The remaining allegations of the First Amended Complaint consist of Plaintiff's Prayer for Relief, to which no response is required, but to the extent it is deemed to include allegations of fact, those allegations are denied. CEMEX denies that Plaintiff is entitled to any relief whatsoever, and respectfully prays that the First Amended Complaint be dismissed with prejudice in its entirety.

AFFIRMATIVE DEFENSES

1. This Court lacks jurisdiction over some or all of Plaintiff's claims.
2. The First Amended Complaint, and each claim for relief therein, is barred, in whole or in part, by the applicable statute of limitations.
3. The First Amended Complaint, and each claim for relief therein, fails to allege sufficient facts to state a claim against CEMEX.
4. The First Amended Complaint, and each claim for relief therein, is barred, in whole or in part, by the doctrine of waiver by virtue of, among other things, the fact that Plaintiff had actual or constructive notice of the alleged modification at the time construction and operation began and yet knowingly and deliberately took no action in connection therewith.
5. Plaintiff is estopped, in whole or in part, from bringing the First Amended Complaint, and each claim for relief therein, by virtue of, among other things, the fact that Plaintiff had actual or constructive notice of the alleged modification at the time construction and operation began and yet knowingly and deliberately took no action in connection therewith.
6. The First Amended Complaint, and each claim for relief therein, is barred, in whole or in part, by the doctrine of laches by virtue of, among other things, the fact that Plaintiff had actual or constructive notice of the alleged modification at the time construction and

operation began and yet knowingly and deliberately took no action in connection therewith.

CEMEX will suffer substantial prejudice, and it would be contrary to notions of fundamental justice, if Plaintiff was allowed to proceed with, and recover on, its First Amended Complaint at this late date.

7. The First Amended Complaint, and each claim for relief therein, is barred, in whole or in part, because the CAA, implementing regulations, and EPA guidance did not provide fair notice of the interpretations of law now advanced by Plaintiff in the First Amended Complaint.

8. Plaintiff's claims for injunctive relief are barred, in whole or in part, because the CAA does not authorize injunctive relief against the continued operation of a source, even if PSD or NNSR permitting requirements are not adhered to.

9. Plaintiff's claims for injunctive relief are barred, in whole or in part, because the emissions from CEMEX's kilns are equivalent to the Best Available Control Technology and Lowest Achievable Emission Rate limits that applied at the time the modification was alleged to have been undertaken.

WHEREFORE, CEMEX respectfully requests that this Court deny all relief sought by Plaintiff, grant judgment to the Defendant, and grant the Defendant such additional relief as the Court may deem just and proper.

Dated: March 30, 2009

Respectfully Submitted,

/s/ Chet Thompson

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CERTIFICATE OF SERVICE

I hereby certify that on March 30, 2009, I electronically filed the foregoing Answer of Defendant CEMEX, Inc. to Plaintiff's First Amended Complaint with the Clerk of the Court using the CM/ECF system, which will send notification of such filing to the following e-mail addresses:

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Dated: March 30, 2009

/s/ Chet Thompson by Janean Hart

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